Theory case · Topic 1 · 2 points · 15 min

C04 — An eVTOL founder: the four views of the entrepreneur and her rights

Lucía, an aerospace engineer, noticed in 2023 that city hospitals needed faster transfers of organs than road ambulances could offer, and that nobody was serving that need. She designed an electric vertical-take-off aircraft with a new battery-cooling system, mortgaged her flat to fund the first prototype, and brought together a team of engineers, a supplier of carbon structures and a hangar owner. Today she signs every contract of the company, decides who works on each project, keeps whatever profit is left once everyone has been paid, and has been offered a large sum by an airline for her stake.

Part (a) · 1 point

Relate Lucía's behaviour to the four views of the entrepreneur

View [Slide 17]	Evidence in the case
"On alert" (Kirzner, 1973)	She detected a new business opportunity, a need nobody was serving
Innovator (Schumpeter, 1950)	She introduced a new product with a new battery-cooling technology
Risk taker (Knight, 1921)	She risked her own flat to finance the prototype
Coordinator	She brought land (hangar), labour (engineers) and capital (supplier, funds) together

Together these are the functions of the entrepreneur: coordinate and control production, ensure payment of the factors, take risky decisions, innovate, and detect opportunities [Slide 17].

KEY POINTS

- On alert (Kirzner): she detected an unserved need.
- Innovator (Schumpeter): a new aircraft and battery-cooling system.
- Risk taker (Knight): she mortgaged her flat.
- Coordinator: she brought together engineers, supplier and hangar owner.

Part (b) · 1 point

Explain which rights make Lucía "the entrepreneur" of her company

A firm is teamwork, and team production needs someone who controls it; the incentive to take that role comes from four **rights** [Slide 18]. Lucía holds all of them: she receives the **residual income** (the profit left once every factor is paid); she **controls and reassigns** the other factors (she decides who works on each project); she is the **central party in all the contracts** with the inputs (she signs them); and she can **sell these rights** (the airline's offer for her stake). The person who holds all these rights is, by definition, the entrepreneur.

KEY POINTS

- Right to the residual income (the profit left after paying the factors).
- Right to control and reassign the other factors (who works on each project).
- Being the central party in all contracts.
- Right to sell these rights (the airline's offer).